

Customer Retention & Churn Analysis Dashboard Report

Introduction

Customer retention is one of the most important factors for business growth. Acquiring new customers often costs more than keeping existing ones, which makes churn analysis essential. This project focuses on building an interactive dashboard to study customer behavior, identify churn patterns, and support better retention strategies.

Project Objective

The main objective of this dashboard is to analyze customer data and understand the reasons behind customer churn. It helps in identifying high-risk customer groups and provides insights that can improve customer satisfaction and long-term loyalty.

Tools Used

- Power BI for dashboard development
- Power Query for data cleaning and transformation
- Excel / CSV dataset for customer records

Key Metrics

- **Total Customers:** 7.043K
- **Customer Loss:** 2K
- **Churn Rate:** 26.54%
- **Retention Rate:** 73.46%

Dashboard Analysis

The dashboard contains multiple visuals that explain customer churn from different perspectives:

1. Churn by Contract Type

Customers with **month-to-month contracts** show the highest churn rate. Customers with one-year and two-year contracts are more stable and loyal.

2. Monthly Charges Impact on Churn

Higher monthly charges are linked with increased churn. Customers paying more are more likely to discontinue services.

3. Churn by Payment Method

Customers using **electronic check** payment methods show the highest churn compared to bank transfer, mailed check, or credit card users.

4. Churn by Internet Service

Fiber optic users account for the largest portion of churn, which may indicate pricing or service quality issues.

5. Churn by Gender

The churn ratio between male and female customers is nearly balanced, showing that gender has limited influence.

6. Customer Lifetime (Tenure) Trend

Customers with lower tenure are more likely to churn, while long-term customers tend to remain loyal.

7. Churn by Senior Citizen

Senior citizen customers display a higher churn tendency compared to non-senior customers.

8. Customer Segment Churn Analysis

Month-to-month customers form the most vulnerable customer segment and need focused retention efforts.

Business Recommendations

- Introduce discounts for long-term contract plans.
- Improve service quality for fiber optic customers.
- Encourage automatic payment methods.
- Offer loyalty rewards for new customers during initial months.
- Create personalized retention campaigns for high-risk users.

Conclusion

This dashboard successfully converts raw customer data into meaningful insights. It helps organizations understand churn behavior, improve customer experience, and build effective retention strategies. By using this dashboard, businesses can make smarter decisions and increase profitability through customer loyalty.

Author

Syed Abdul Muqeeth

